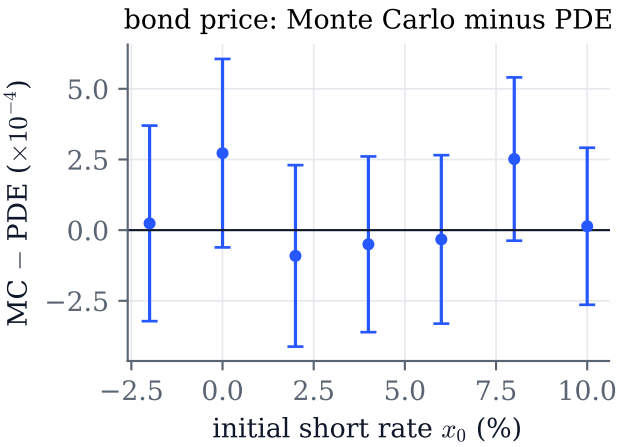
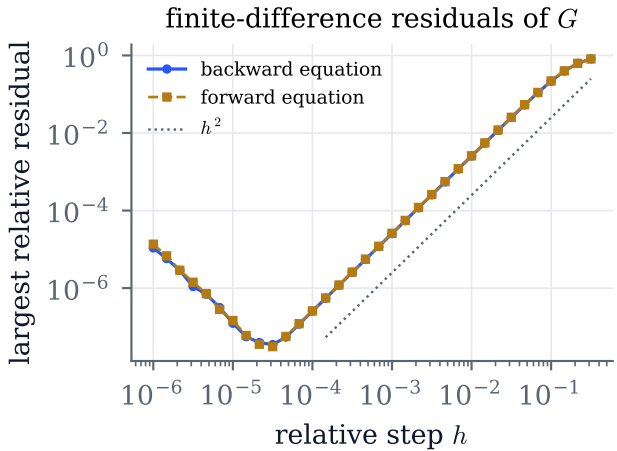

bond price: Monte Carlo minus PDE
MC − PDE (×10⁻⁴)
5.0
2.5
0.0
−2.5
−2.5
0.0
2.5
5.0
7.5
10.0
initial short rate x_0 (%)


finite-difference residuals of G
largest relative residual
10^{0}
10^{-2}
10^{-4}
10^{-6}
backward equation
forward equation
h^2
10^{-6}
10^{-5}
10^{-4}
10^{-3}
10^{-2}
10^{-1}
relative step h